

Module 8 – Value Proposition – sub modules

Pre Session [++45mins]	Session [++ min]	Post Session [++mins]
1. Quiz [3-5 mins] 2. Videos	1. Value Proposition 2. VP Canvas 3. Positioning statement + positioning map	1. Value Proposition Canvas 2. Positioning Statement 3. Product Positioning – 2 axes and why 4. Initial Problem Hypothesis 5. Update BMC



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Value Proposition

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Pre-Session Activities

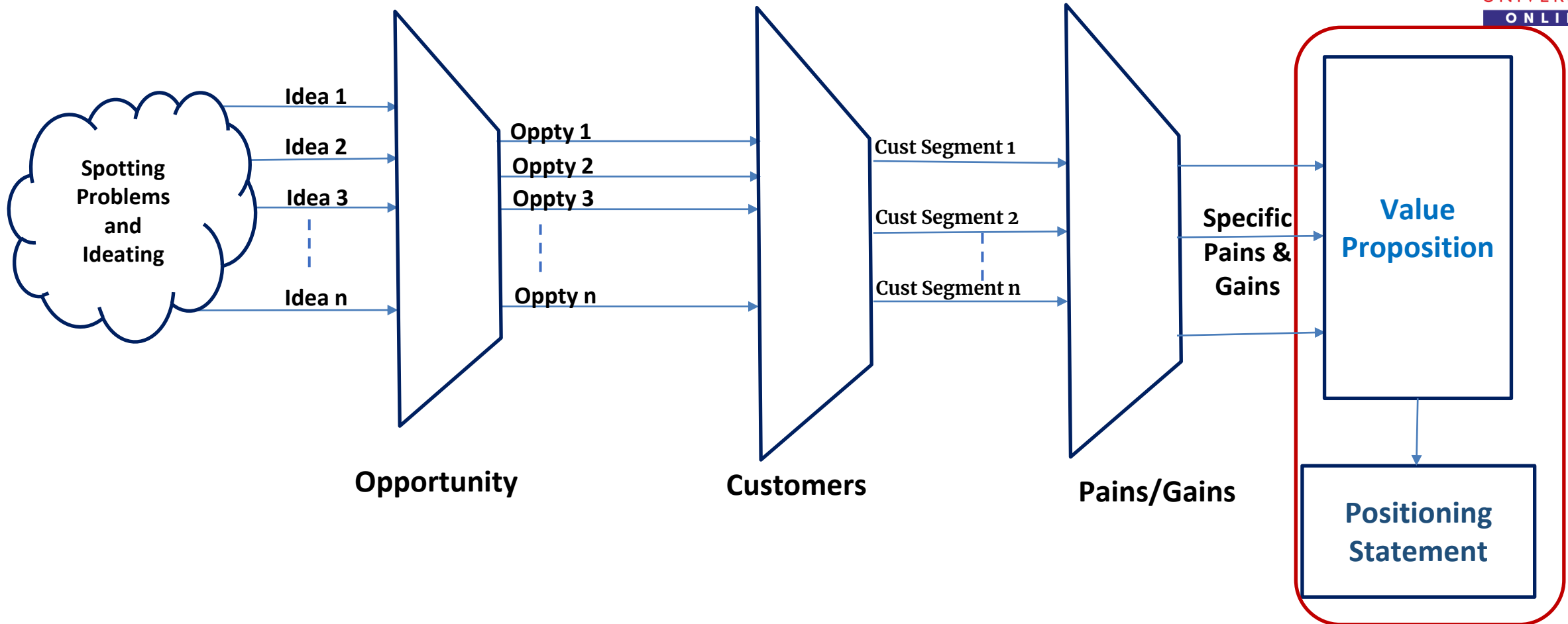
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Course Map - You are here



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What is Value?



Applicable in a very broad sense:

Economic, Social , Political, Art, Entertainment, Human, Business, etc.

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What is Value?



Our interest is in the business context:

Startup, Enterprise, Small-Medium-Business (SMB), etc.

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What is Customer Value?



[Desired] Value:

The value customers **desire** in a product/service.

[Perceived] Value:

The value that a customer believes (s)he received **after purchase** of a product/service.

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More on Value



- Value is the *usefulness* of a product/service
- Value cannot be defined in terms of money (only)
- Varies from customer to customer (same product/service can have different value)
- Market fluctuations may change cost &/or price but *value* can remain unaffected

**Bundle of products and/or services that
create *value* for a specific customer segment.**

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Value Proposition - Example 1 (Art/Craft)



Raw Wood + Processing + Craftsmanship → Curio/toy

What do you think is the value added to starting material (wood)?

Why do you think the value of the finished product is higher?

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Value Proposition - Example 2 (Music)

*What do you think is the (relative) **Price** of below products?*

*What do you think is the (relative) **Value** of below products?*



Tanpura



E-Tanpura
(Saraang Micro V6*)



E-Tanpura + E-Tabla
(Milan +*)



App

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Value Proposition (Types)

- Newness
- Performance
- Customization
- “Getting the job done”
- Design
- Brand/Status
- Price
- Cost reduction
- Risk reduction
- Accessibility
- Convenience/Usability

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Value Proposition Canvas

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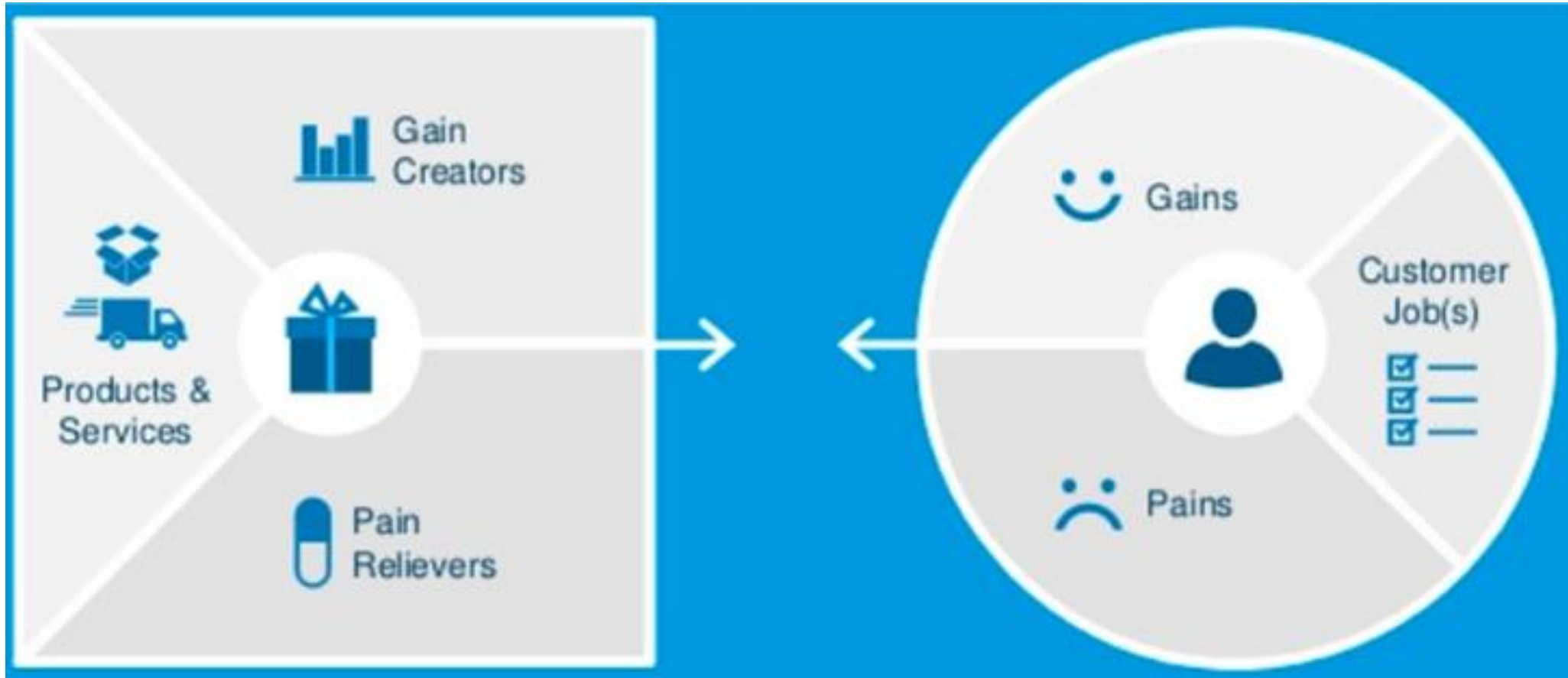
Value Proposition Builder



- What **value** do we deliver to the customer?
- Which **customer needs** are we satisfying?
- Which **one of our customer's problems** are we helping to solve?
- **Why** should the customer choose **your solution**?
- What **products/services** are we offering to each Customer Segment?

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Value Proposition Canvas (VPC)



Value Map

Customer Profile

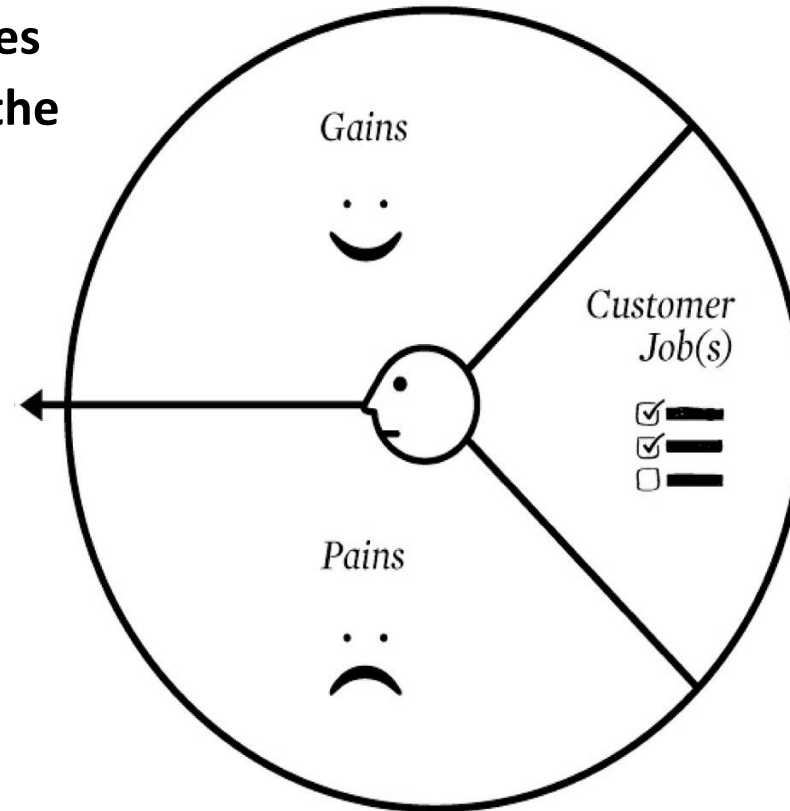
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Building Customer Profile (Right Side of VPC)

Gains describes the outcomes customers want to achieve or the benefits they are seeking

Pains describe problems, bad outcomes, risks and obstacles related to customer jobs

Tip: make it as specific as possible



Describe what customers are trying to get done (in their work and in their lives, if possible, expressed in *their own words*)

Include: functional, social, personal, emotional jobs

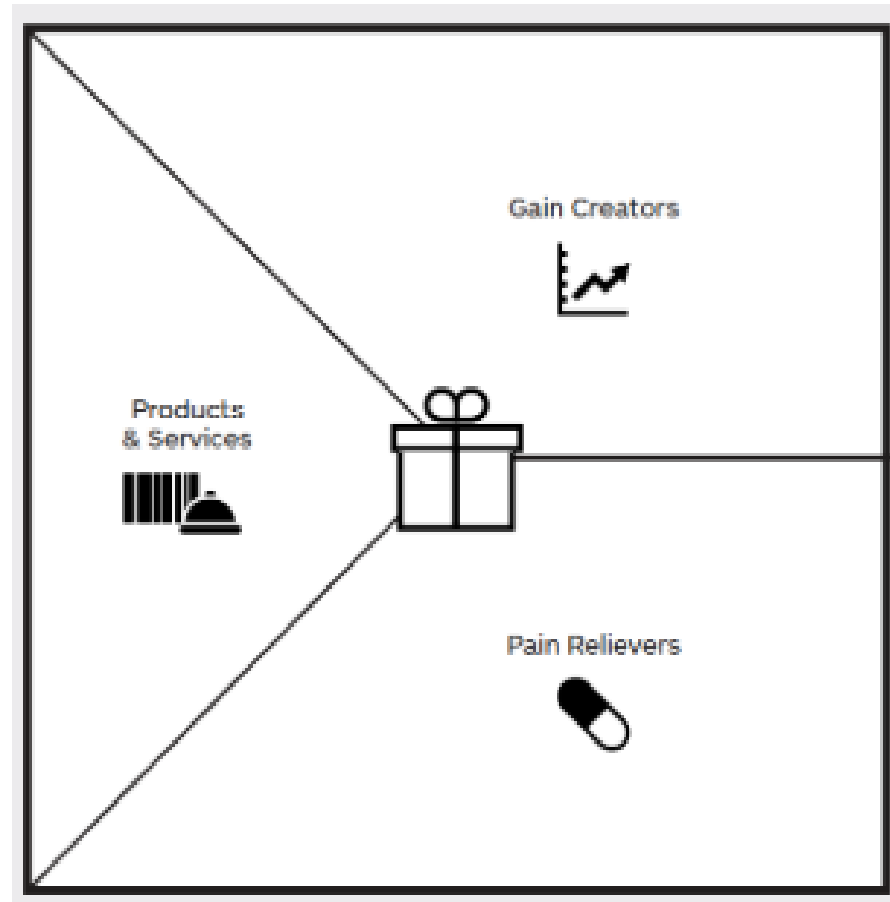
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Building Value Map (Left Side of VPC)

Products/Service

you offer based on your value proposition.

Helps **customers** do either *functional, social* or *emotional jobs*



Gain Creators:

how your products/services **create customer gains** (outcome, benefits, desires, functional utility, social gains, positive emotions, cost savings)

Pain relievers:

how exactly your products and services eliminate or **minimize customer pains**.

Tip: Focus on the key pain points (need not be every pain point)

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Positioning Statement

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Positioning Statement - Template



- **For** (target customer)
- **Who** (statement of need or opportunity)
- (Product name) **is a** (product category)
- **That** (statement of benefits)

Differentiation

- **Unlike** (primary competitive alternative)
- **Our product** (statement of primary differentiation)

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Positioning Statement - Example: Tesla



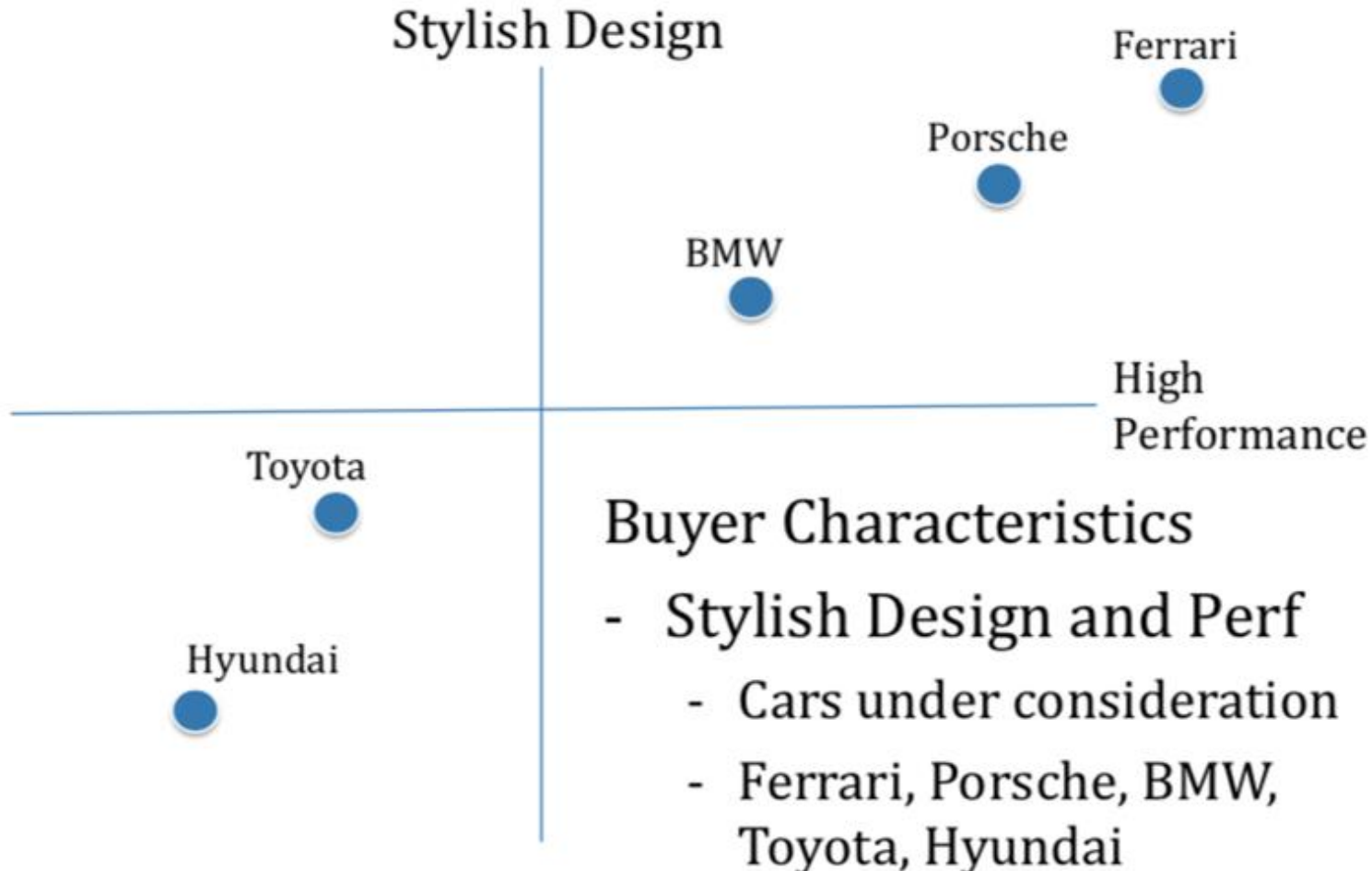
- *For wealthy individuals & car lovers*
- *Who want an environmentally friendly & high-end sports car*
- *The Tesla Roadster is a an electric automobile*
- *That delivers unprecedented performance without damaging the environment*

(Differentiation)

- *Unlike Ferraris and Porches,*
- *Our product has fantastic mileage, unparalleled performance and no direct carbon emissions.*

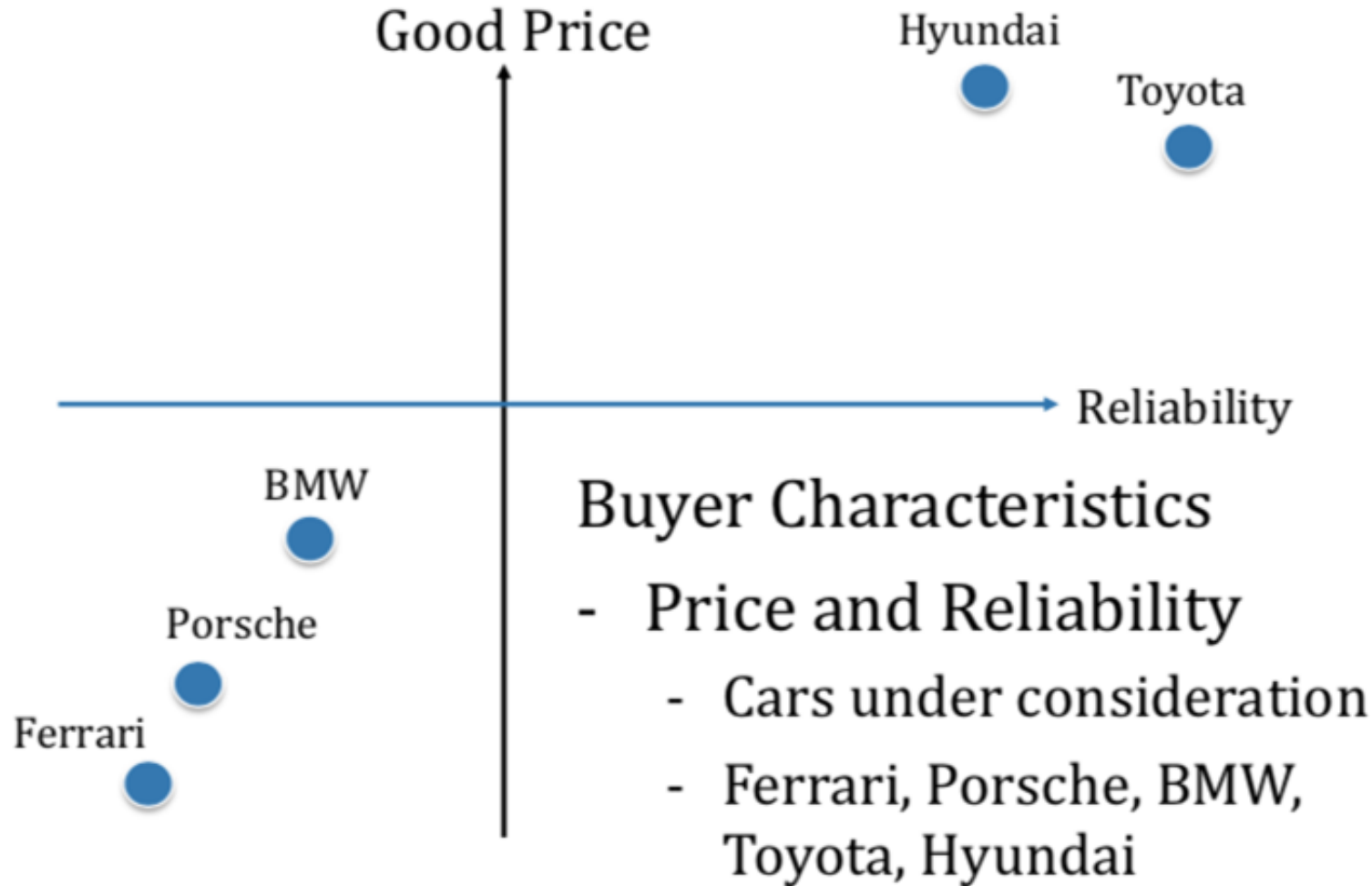
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Product Positioning



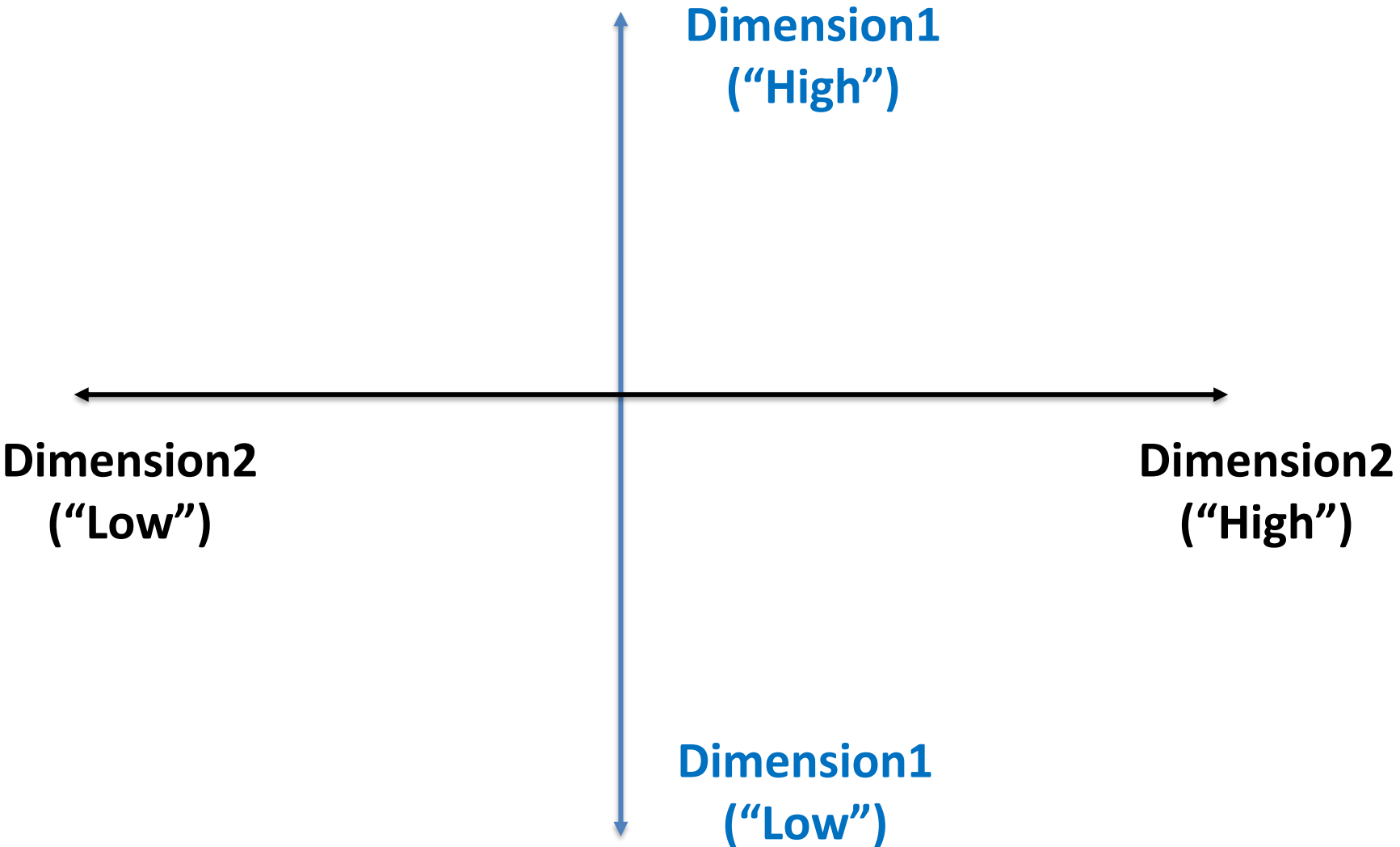
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Product Positioning



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What is your Product Positioning?



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Post Session Brief

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Activity (Team) - Value Proposition Canvas



To do : For *each Customer Segment* identified

1. Brainstorm Customer Jobs, Pains & Gains
2. Brainstorm Pain Relievers & Gain Creators & Product/Services
that can address 'pain relievers' and 'gain creators'

Result : A VPC (for each customer segment) showing

1. **Gain/Gain Creators & Pain / Pain Relievers**
2. **Potential product/service** that will create value for customer
3. Make a **1-minute video** explaining your team's canvas
and post on team wall.

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Activity (Team) - Positioning Statement



Create your Positioning Statement and share on Team Wall.

Positioning Statement Template

- **For** (target customer)
- **Who** (statement of need or opportunity)
- (Product name) **is a** (product category)
- **That** (statement of benefits)

Differentiation

- **Unlike** (primary competitive alternative)
- **Our product** (statement of primary differentiation)

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Activity (Team) - Product Positioning



- **Identify the 2 axes/ dimensions you would want to position your product in and why you chose them.**
- **Share on Team Wall.**

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Activity (Team) - Update BMC



Update your BMC and post on Team Wall

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Activity (Team) - Initial Problem Hypotheses



When [CORE TASK],

we believe that [TARGET CUSTOMER SEGMENT(S), DEFINED BY DEMOGRAPHIC AND/OR BEHAVIORAL ATTRIBUTES]

who want [KEY FUNCTIONAL PERFORMANCE AND/OR PSYCHOLOGICAL NEEDS]

are dissatisfied by [EXISTING SOLUTIONS]

because of [SHORTCOMINGS OF EXISTING SOLUTION(S)]

and/or because of [CONSTRAINTS CONFRONTING CUSTOMERS].



THANK YOU

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